

**Time:** 4 minutes**Outcome:** Distinguish Sunk & Avoidable Costs.**Difficulty:** ●●○ Intermediate

## Sunk & Avoidable Costs



### THE CORE IDEA

Sunk costs cannot be recovered and should not affect a current decision; avoidable costs change with the option chosen. Past unrecoverable costs do not change the marginal consequences of the current decision. The relevant comparison is forward-looking, not an attempt to reverse an unrecoverable past payment. The current payment is sunk; the future renewal is avoidable and differs across options. Avoidable costs differ across the alternatives being considered.



### HOW TO RECOGNIZE IT

- Ask whether a cost has already been incurred and cannot be recovered.
- Exclude sunk costs from the comparison among current options.
- Include avoidable costs because they differ depending on which option is chosen.
- Focus on future benefits and future costs that change with the decision.



### WATCH OUT

Do not treat fixed as sunk. The current payment is sunk; the future renewal is avoidable and differs across options. Avoidable costs differ across the alternatives being considered.



### WORKED EXAMPLE: IGNORE OR INCLUDE THE COST?

A theater has already paid a nonrefundable \$4,000 license fee. Canceling tonight's show avoids \$3,000 of staffing and utility costs but gives up \$5,500 of ticket revenue. The sunk \$4,000 does not affect the current decision. Because operating adds  $\$5,500 - \$3,000 = \$2,500$ , the theater should hold the show.



### CHECK YOURSELF

A fixed annual license can be surrendered halfway through the year for a \$4,000 refund. For a midyear shutdown decision, which amount is relevant?

**READY?**

Return to the game and master this concept.